

Root cause analys

Overview

Problem Statement

The bank is experiencing an increasing number of loan defaults, resulting in financial losses, higher operational costs, and reduced confidence in the loan approval process.

Problem statements

Problem 1	Problem 2	Problem 3	Problem 4	Problem 5
The bank is experiencing a high loan default rate, resulting in financial losses and increased credit risk.	High-risk applicants are being approved because the existing loan evaluation process does not accurately identify risky customers	The loan evaluation process relies heavily on manual reviews and inconsistent decision-making by loan officers.	The bank does not have a standardized, data-driven financial risk assessment process to support lending decisions.	The organization has not implemented an AI-assisted financial risk classification system that analyzes customer financial data before loan approval.
Whys	Whys	Whys	Whys	Whys
1. High-risk customers receive loan approvals. 2. Risky borrowers go unidentified before loan approval. 3. Loan defaults cause financial losses and increase credit risk.	• The current evaluation process relies on manual assessment. • Risk assessment differs among loan officers. • Customer financial data lacks consistent analysis.	• No standardized risk scoring model exists. • Decisions rely on individual experience, not objective criteria. • Manual processes raise the risk of human error.	1. Customer financial information is not analyzed automatically. 2. The bank lacks a centralized financial risk assessment framework. 3. Existing systems offer limited decision support.	1. No AI-driven risk classification solution exists. 2. No automated system classifies applicants as Low, Medium, or High Risk. 3. Lending decisions lack predictive risk insights.
Final problem statement				
The absence of a standardized, AI-assisted financial risk classification system leads to inconsistent loan approval decisions, allowing high-risk applicants to receive loans and increasing the likelihood of loan defaults.				